

By now, the mania for ICE stocks in India was mirroring that on Nasdaq. The phenomenal rise in share prices made a mockery of the price targets that analysts would assign for these stocks. Twelve-month price targets would be achieved in two months, leaving analysts scratching their heads over how to justify the new prices. And, despite many stocks rising tenfold or even more in less than two years, most stockbroking firms were reluctant to rate them as 'sells', even though they were quoting at bizarre PE multiples. Of course, there were the odd 'sell' ratings, but minuscule compared with the 'buy' reports that broking firms were enthusiastically bandying around. Analysts then started justifying the high valuations on the basis of something called the price earnings growth (PEG) ratio, which is not as commonly used as the PE ratio. All it did was to help the valuations look slightly saner. I remember GB once remarking that when stocks became overvalued and people tried to justify it rather than admit they were expensive, it was time to book profits.

Broking firms could not afford to antagonize the companies from whom they stood to earn fees for helping raise capital or acquire other companies. And the brokers' institutional clients too wanted to buy the high-flying stocks so that their fund performance did not lag behind that of their competitors. Few brokers or fund managers had the conviction to stand apart from the crowd for fear of appearing ridiculously contrarian.

Another danger was building on account of the laxity on the part of brokers in collecting margin money from their retail clients. With prices rising almost by the day, the clients' outstanding positions would always show a credit. Many investors used this credit to buy more shares, prodded on by their brokers eager for more brokerage. The day of reckoning did not seem too far away now.

On 11 February, the Sensex topped 6,000 for the first time ever, but closed below that psychological level. That was a Friday, and we celebrated the landmark over drinks at the Harbour Bar in Taj Mahal Palace overlooking the Gateway of India. There were about a dozen of us. After the third or fourth peg, everybody present agreed that the market was absurdly overvalued and that it was time to sell out.

After we broke up, GB and I had a short stroll by the seaside. There was a slight nip in the air, even as winter was in retreat.

'You know, Lala, every time people attend a funeral, they become philosophical and return home promising to become better human beings